THE RELEVANCE HOUSE PRESENTS

EVERYTHING FOR EVERYONE ALL AT ONCE



CENTRALIZED CRYPTO EXCHANGE EDITION

UNVEILING THE KEY NARRATIVES OF THE TOP 10 CRYPTO EXCHANGE BRANDS

Q2 2023

THE CENTRALIZED CRYPTO EXCHANGES (CEXS) BRAND LANDSCAPE Q2 2023

Unveiling the key narratives of the top 10 crypto exchange brands.

TABLE OF CONTENTS

Foreword by German Ramirez, Co-Founder of THE RELEVANCE HOUSE 03

Methodology 04

Key findings 05

The 9 core narratives of CEX brands 06

Narrative emphasis: simply sophisticated 11

Comparing the brand consistency of the largest CEXs 13

Coinbase and Binance's surprisingly similar brand positioning 15

Key tensions in CEX brands 17

Summary and outlook 19

FOREWORD BY GERMAN RAMIREZ



Co-Founder & Chief Relevance Officer of THE RELEVANCE HOUSE AG

During the 2017 crypto bull run, I saw centralized exchanges like Coinbase, Kraken, and OKX establish themselves as the heart of the growing crypto sector, keeping digital asset liquidity flowing day and night, seven days a week. The crypto winter that followed saw Binance and other challengers emerge as powerful competitors. Moreover, they did so with impeccable timing, taking advantage of the almost insatiable appetite for everything crypto and blockchain that resurfaced in 2020 and 2021.

In a fast-growing and competitive market, it became increasingly obvious to me that every player was pursuing the same "strategy" – a relentless focus on the acquisition of crypto enthusiasts by making sure their name gets in front of them first.

Under these combined pressures, many crypto-currency exchanges developed messaging that's indistinguishable from the wider movement, with little differentiation between players. Industry watchers who follow developments on Twitter, attend crypto conferences and read the crypto trade press eventually gain a sense of the nuances of each exchange. But these differences are usually only vaguely reflected in their client-facing brands.

History teaches us that name recognition alone is not enough in the long run. You can be objectively good at many different things, but you will usually only be remembered for one. To build a lasting brand, customers need to know who you are and understand what you stand for. Crypto exchanges are failing to recognize what they need to do to establish staying power in the real world beyond the crypto niche.

Until now, these statements were ones I could make with some authority, based on my longevity in the sector and background in marketing. But I couldn't prove they were true in any quantifiable sense. In crypto, the advice is always to DYOR (do your own research.) So, in the absence of any evidence-based research into Web3 branding, that's what we did.

This report analyzes the public-facing brands of the 10 largest centralized cryptocurrency exchanges, exploring the key narratives that convey their messages and identifying the tensions that erode their consistency. The results provide the first-ever quantified evidence that some of the largest players in the cryptocurrency sector, including household names, have huge name recognition but relatively fuzzy brand positionings.

To achieve further growth, crypto will have to become a mainstream option for everyday people. To attract this new type of customer, exchanges need a clear brand positioning that differentiates from the competition in a way that's relevant to their chosen audience. I look forward to seeing how exchanges are able to leverage this research in support of their branding endeavors.

METHODOLOGY

This report uses THE RELEVANCE HOUSE's brand map as its foundation, a proprietary methodology that synthesizes three proven psychological and societal models. This enables us to identify inconsistencies, tensions, strengths and weaknesses of a brand and determine the most promising potential positioning to build on.

We identified the nine core narratives of crypto exchange brands, and grouped them into four positioning zones, which each capture a distinct set of user needs. We then analyzed the brand messaging on the primary web presence (downloaded on June 8, 2023) of each exchange according to these narratives.

The amount of imagery and text devoted to each narrative was measured in terms of pixel volume, with messages directly above and below the fold on the primary web page given higher weights. The standard deviation between the four positioning zones was then computed to capture the brand consistency of each exchange.

100% brand consistency would therefore reflect a perfectly focused brand, with all messaging appealing to the same user needs and emotional drivers. 0% would reflect a completely scattershot approach, with messaging equally divided among all positioning zones.

POSITIONING ZONES





Brand positioning zone	Underlying narratives
A new way to earn	To the moon, revolution, simplicity
On the cutting edge	Better tech & product
You can trust us	Safety, compliance, low fees
An exchange for everyone	Community, financial inclusion

HOW THE TOP 10 CEXS DIFFERENTIATE THEIR BRANDS

TOP10

A quantitative analysis of the key narratives and tensions

This report explores how the world's largest digital asset exchanges differentiate their brands. Firstly, we quantitatively analyze the primary web presence of the top exchanges, identifying nine key narratives. Then, we compare the consistency of the brands and explore the recurring tensions weakening their impact. Finally, we examine Binance and Coinbase in more detail to illustrate how the distinct strategies of different exchanges are not always reflected in their public-facing brand.



KEY FINDINGS

We have identified the nine central narratives that underpin cryptocurrency brands.

A comparative analysis shows that Kraken has the highest brand consistency.

All of the top 10 brands stress seemingly contradictory messages — such as compliance and revolution — in their core web presence.

Exchanges struggle to stay on message, with those that have more content on their webpage tending to have lower brand consistency and vice versa.

THE 9 CORE NARRATIVES OF CEX BRANDS

How exchanges use narratives to shape their identity (and sometimes contradict themselves)

Through a quantitative content analysis of the web presence of the top 10 cryptocurrency exchanges, we identified the following nine central narratives.

01 TO THE MOON

Brand positioning: A new way to earn



Emphasizes the personal financial rewards of participating in the cryptocurrency market. This may be indicated by references to earnings, profit or yield, or visuals of rockets or upward price charts.

SAMPLE PHRASE:

"Huobi Earn: Best APYs in the industry."

Huobi



02 JOIN THE REVOLUTION

Brand positioning: A new way to earn

The assertion that digital assets can disrupt the existing financial system or power structures, stressing aspirations like liberation, sovereignty and empowerment.

OKX

SAMPLE PHRASE:

(OKX Vision) "Crypto will re-shape our money, our financial system, our internet, and our society, and ultimately contribute to every individual's freedom and dignity."

03 SIMPLICITY

Brand positioning: A new way to earn



References to the simplicity and user-friendliness of the exchange interface or onboarding process.

Kraken

SAMPLE PHRASE:

"Kraken is a crypto exchange for everyone... Start your crypto journey. Kraken makes it easy to get started."

04 BETTER TECH AND BETTER PRODUCT

Brand positioning: On the cutting edge

Emphasizes the technical features and sophistication of the product offering, such as the number of pairs, depth of liquidity, size of the platform, or transaction speeds.

Binance

SAMPLE PHRASE:

"Today, Binance is the world's leading blockchain ecosystem, with a product suite that includes the largest digital asset exchange."

05 SAFETY

Brand positioning: You can trust us

Entails references to cryptosecurity, custody, cold wallets, auditing procedures, trust etc.

Upbit

SAMPLE PHRASE:

"Upbit provides financial-institution grade of security..."

06

COMPLIANT

Brand positioning: You can trust us

Stresses that the exchange in question is regulated, complies with legal requirements, or seeks to engage with regulators.

Coinbase

SAMPLE PHRASE:

"Adherence to regulatory requirements in all jurisdictions in which Coinbase operates ensures that we keep our customers - and the broader financial ecosystem - safe."

07

LOW FEES

Brand positioning: You can trust us

All references to value for money when it comes to fees.

MEXC

SAMPLE PHRASE:

(MEXC) "Lowest Fees, Highest Profits. 0% Spot Maker & Taker Fees..."



08 COMMUNITY

Brand positioning: An exchange for everyone

Stresses collaboration and engagement among members of a cryptocurrency community or ecosystem. This may be a reference to a community that has formed around a particular exchange or appeals to values such as equity, fairness and solidarity.

KuCoin

SAMPLE PHRASE:

"As an exchange for, by, and of the people, KuCoin is developing a community where everyone can benefit from growth and have their opinions heard."

07 FINANCIAL INCLUSION

Brand positioning: An exchange for everyone



The aspiration to provide financial services to a more diverse range of people, such as unbanked populations or economically marginalized groups.

KuCoin

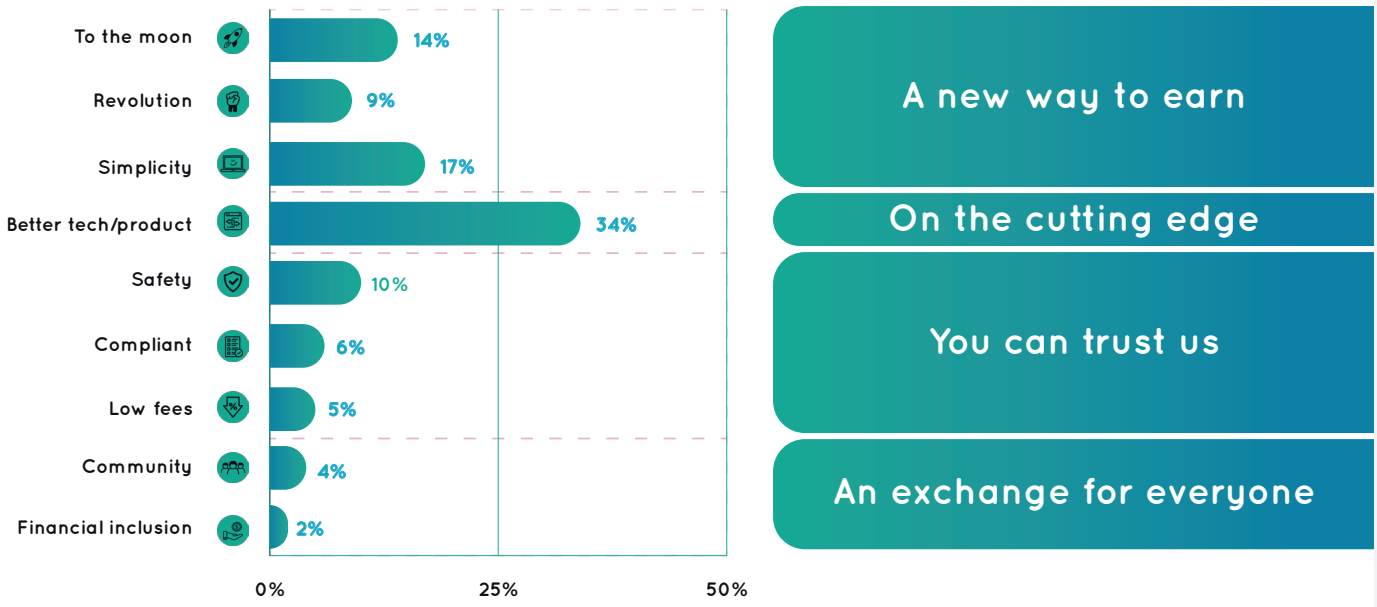
SAMPLE PHRASE:

(KuCoin) "...reshaping the financial system into one that would not only serve richest few, but everyone in the world — even the less educated, unemployed, and unbanked."

NARRATIVE EMPHASIS: SIMPLY SOPHISTICATED BETTER TECH AND PRODUCT

Tech vs simplicity: The contradiction of crypto exchange messaging

Average Narrative Emphasis of 10 Leading CEX Brands



Source: THE RELEVANCE HOUSE AG

Examining the narrative emphasis across the 10 exchanges, we can see that on average, 34% of the brand-relevant messages on primary web presences relate to the better tech and product narrative. This reflects the strong tech-focussed bent of many cryptocurrency firms, which were often founded by developers who still retain key positions within the organizations.

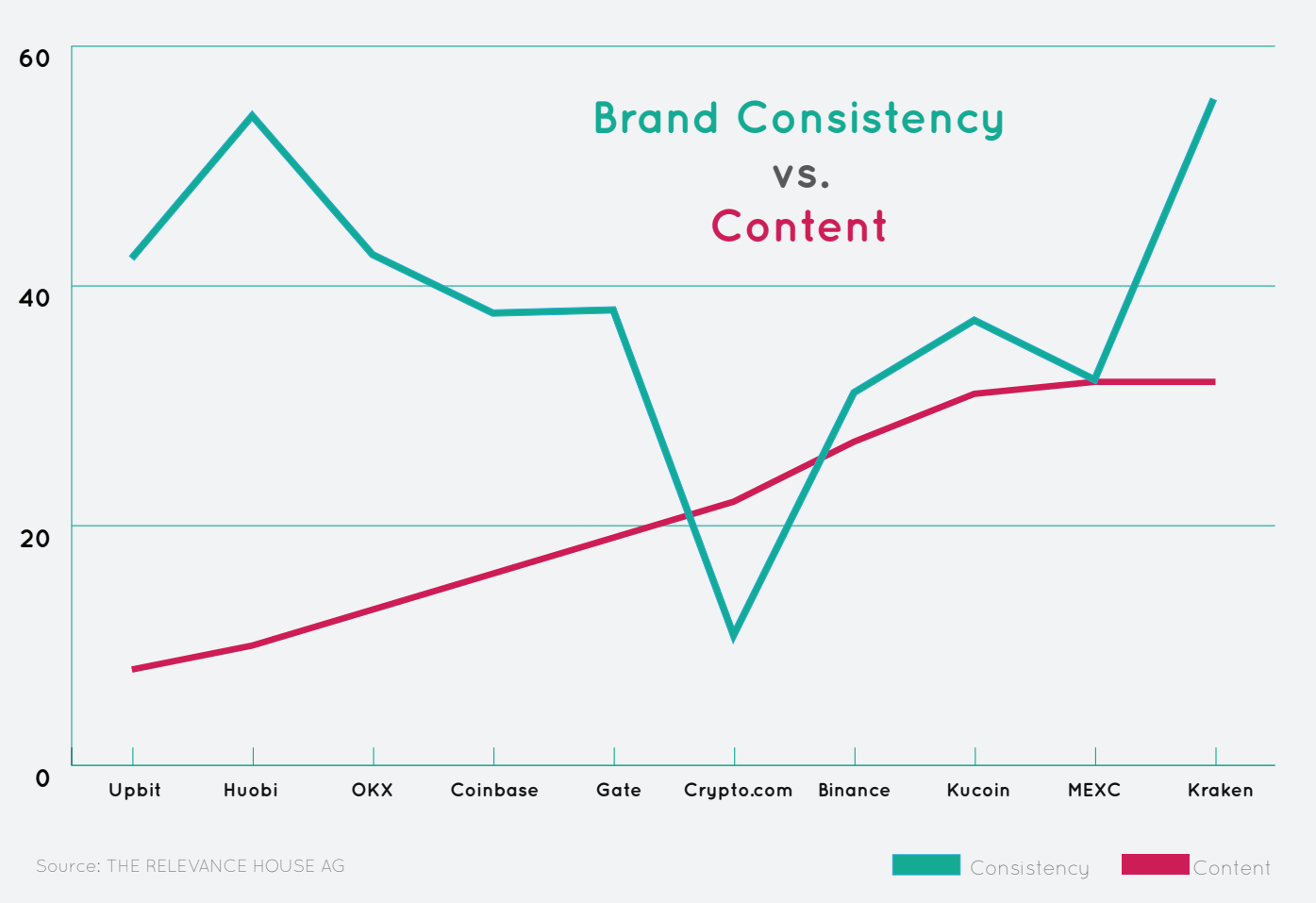
The better tech/product narrative is followed by the "simplicity" narrative, which garners an average of 17% of brand-related messaging. Here, it is worth mentioning that better tech and simplicity are somewhat in tension, since the former tends to focus on sophisticated trading tools, transaction speeds and leveraged financial products and these concepts are usually not of interest to newcomers. Exchanges that aim to move beyond cryptocurrency natives to target casual users may want to downplay these technical intricacies to more clearly and credibly position themselves as a "simple" product.

One more thing to note is that although we might think of "community" and "financial inclusion" as central pillars of the cryptocurrency movement, these narratives receive comparatively little emphasis among exchanges and are often relegated to the About page or vision and mission statements.

EXCHANGES STRUGGLING TO STAY ON MESSAGE

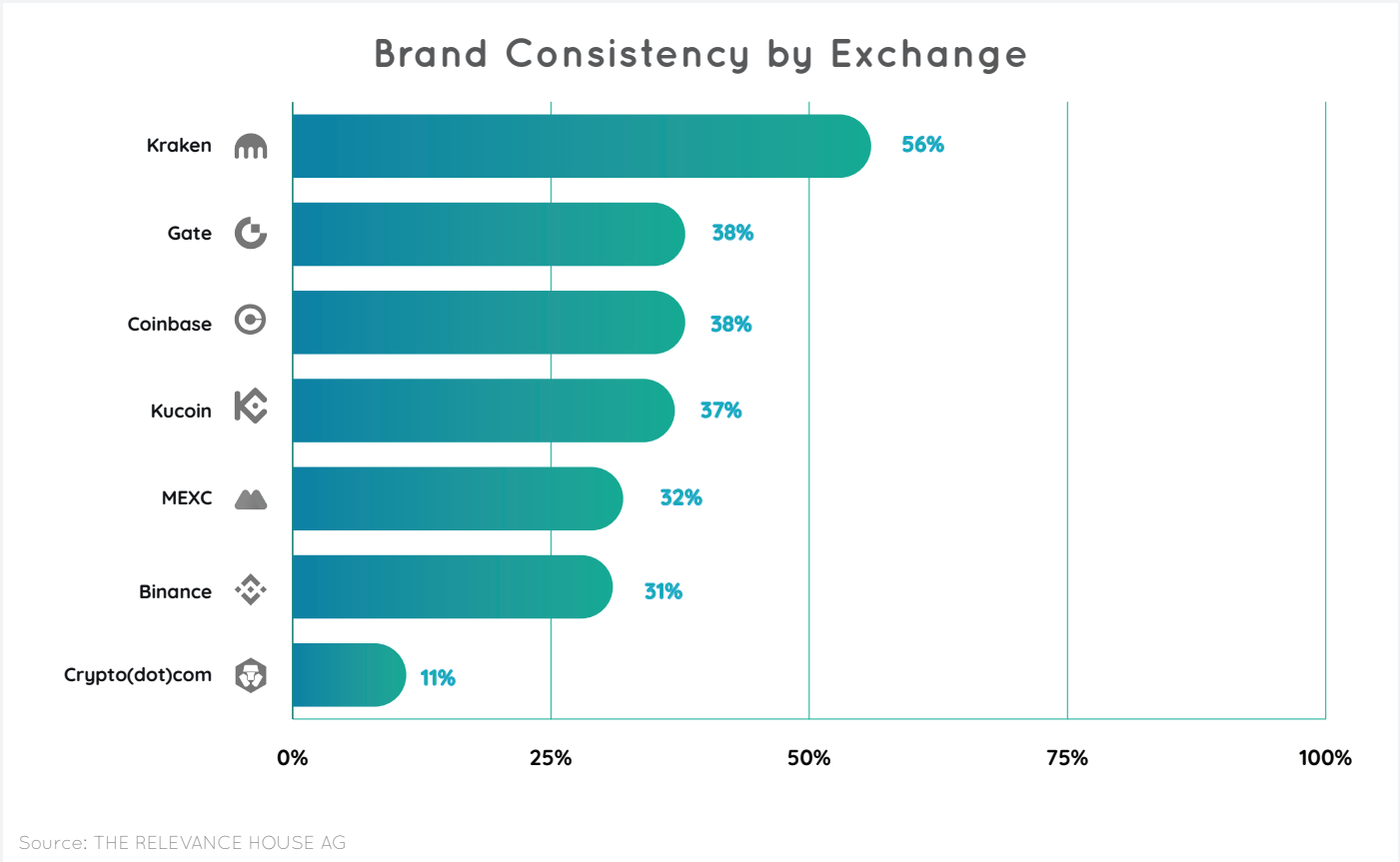
When content goes up, consistency goes down

Rather than bolstering their core messaging and promise, exchanges that have more content on their primary web presence tend to dilute the consistency of their brand (with the notable exception of Kraken).



COMPARING THE BRAND CONSISTENCY OF THE LARGEST CEXs

Crypto confusion: exchanges sending mixed signals to their users



Source: THE RELEVANCE HOUSE AG

A strong brand is established on a clear market positioning anchored in a distinct narrative space. Consistent messaging is essential to ensure that a brand is both memorable and credible.

In analyzing the brand narratives of the top 10 CEXs, competing narrative claims are in evidence. For instance, the "to the moon" narrative appeals to an unbridled lust for financial independence, freedom and self-actualization, while the compliance narrative is grounded in conformity, prudence and trust. When a brand tries to appeal to competing narratives simultaneously, it loses consistency.

To capture brand consistency, we grouped the narratives listed above into four narrative zones (see methodology). We then calculated the consistency in messaging for each exchange by measuring the standard deviation between zones. Note that the volume of brand-relevant text on the websites of Huobi, OKX and Upbit was too low for consistency analysis.

KRAKEN: A CUT ABOVE, BUT NOT WITHOUT FLAWS

Kraken leads the pack with a brand consistency score of 56% and core messaging that focuses heavily on simplicity and tech/product. It should be noted however that Kraken's leading narratives are in separate positioning zones. This reflects that "simplicity" and "better tech/product" are not always completely compatible with each other.

In this case, Kraken's sophisticated product offering and prominent references to leveraging margin trading and purchasing futures contracts might be overwhelming to crypto newbies seeking simplicity.

This shows that even the most consistent crypto brands have room for improvement in terms of their brand focus.

56%

CRYPTO.COM: JACK OF ALL TRADES, MASTER OF NONE

11%

On the other end of the scale, crypto.com has the lowest brand consistency score of 11%. The exchange's messaging is split between the tech/product, safety, revolution & community narratives, which all lie in different positioning zones.

This results in a brand which is quite diffuse, simultaneously making claims about compliance, ease of use, transaction speeds and security with little supporting detail or focus.

COINBASE AND BINANCE'S SURPRISINGLY SIMILAR BRAND POSITIONING

Different strategies, same narratives

While Binance and Coinbase are the two largest cryptocurrency exchanges in the world, they differ in terms of their user bases, interface and approach to compliance and regulation.



As indicated by its NASDAQ listing, Coinbase's central focus is on the US market, where it has 98 million registered users. Conversely, Binance is not listed on a traditional financial exchange and has a global outlook. While Coinbase is known for its simple and intuitive trading tools suitable for newbies and casual investors, Binance offers a more slick and sophisticated interface featuring many options for trading through derivatives, margins, and other mechanisms. Finally, while Coinbase has attempted to position itself as a compliant and regulated platform, Binance has adopted a less cautious approach, pushing the boundaries and pulling out of countries like Canada when tighter rules were imposed.

01 COMMON FOCUS ON TECH, PRODUCT & EARNING POTENTIAL



Given these apparent differences in focus and business strategy, it may come as a surprise that the narratives of Coinbase and Binance's client-facing brands are very similar. Both place the most emphasis on tech and product, followed by allusions to earning potential, as captured by the "to the moon" narrative. Binance trumpets support for over 350 cryptocurrencies, boasting that it is the "leading blockchain ecosystem" and "largest crypto exchange by trade volume". For its part, Coinbase highlights that over 100 currencies can be traded on the platform, claiming that it "powers the cryptoeconomy" through "245,000 ecosystem partners". In a prominent call to action at the base of the home page, Binance urges users to "Start earning today". In the same spot on the Coinbase page, a button invites users to "Start earning".



SIMPLICITY: A SLIGHT POINT OF DIFFERENCE

As might be expected, Coinbase puts slightly more emphasis on simplicity, most notably in its strapline which describes the platform as the "easiest place to buy and sell crypto". This narrative is not really bolstered elsewhere, however, with only one section inviting users to "get started in minutes" and a passing reference to a more "accessible" financial system on the About page. Binance also invites users to start trading "with these easy steps" while emphasizing the ability to trade "anywhere, anytime" with its mobile app.

COMPLIANCE: A CONTRADICTORY NARRATIVE FOR COINBASE



Coinbase does place significantly more emphasis on compliance. However, somewhat oddly, this is combined with a revolutionary narrative that would seem to be contradictory. For example, the Coinbase About page explains that it has been founded on the basis of "the radical idea that anyone, anywhere, should be able to easily and securely send and receive Bitcoin". One section later, it states that "a strong compliance foundation is critical to Coinbase's mission". It goes without saying that know-your-customer (KYC), anti-money laundering, and counter-terrorist financing (AML/CTF) controls are an integral part of regulatory compliance. Thus, it's not clear how enabling "anyone, anywhere" to trade crypto would be possible for a fully regulated exchange.

CONCLUSION: A LACK OF BRAND CONSISTENCY



Overall, the data indicates that the significant differences between Coinbase and Binance are not clearly expressed in their public-facing websites or brand promise.

KEY TENSIONS IN CENTRALIZED CRYPTO EXCHANGE BRANDS



Mixed messages: The frictions weakening CEX brand consistency

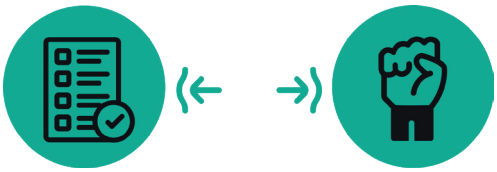
In trying to cover all the bases, exchanges are sending out mixed messages to prospective users. But why are certain narratives in conflict while others are complementary? When narratives from different positioning zones are used together, it can give rise to inconsistencies and dissonance, which weaken the impact of the brand. In this section, we explore some of the most common narrative tensions.

COMPLIANT VS. REVOLUTION

WHY IS IT IN CONFLICT?

Institutions represent the status quo, whereas revolution emphasizes change and disruption.

EXAMPLE: COINBASE

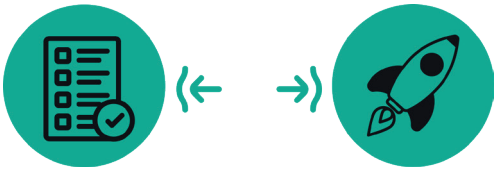


COMPLIANT VS. TO THE MOON

WHY IS IT IN CONFLICT?

Compliance is about conformity whereas "to the moon" is about pushing the boundaries and financial freedom.

EXAMPLE: COINBASE

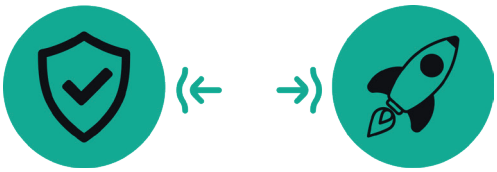


SAFETY VS. TO THE MOON

WHY IS IT IN CONFLICT?

Safety appeals to those who are risk averse whereas "to the moon" appeals to risk seekers.

EXAMPLE: MEXC

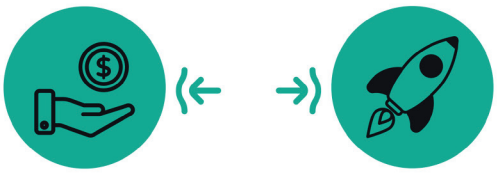


FINANCIAL INCLUSION VS. TO THE MOON

WHY IS IT IN CONFLICT?

"To the moon" is about pursuing individual wealth, whereas financial inclusion is more of a socially conscious, humanitarian goal.

EXAMPLE: KUCOIN

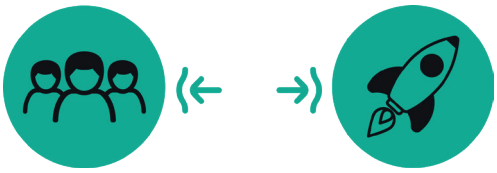


COMMUNITY VS. TO THE MOON

WHY IS IT IN CONFLICT?

Getting rich is an individualistic desire, whereas community involves pursuing a common goal.

EXAMPLE: KUCOIN

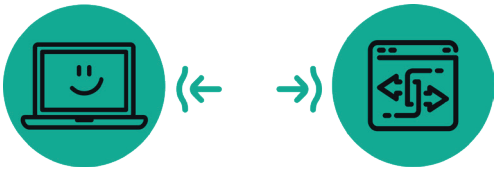


SIMPLICITY VS. BEST TECH

WHY IS IT IN CONFLICT?

The more sophisticated the products, derivatives and execution architecture is, the harder it is to appeal to newbies.

EXAMPLE: GATE.IO

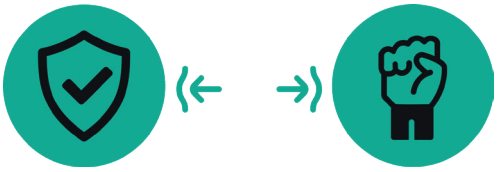


SAFETY VS. REVOLUTION

WHY IS IT IN CONFLICT?

Emotional conflict: safety is about pulling back. Revolution is about pushing forward.

EXAMPLE: CRYPTO.COM



SUMMARY & OUTLOOK



This report examines how the 10 largest centralized cryptocurrency exchanges communicate their brands to the public, and reveals the gaps and contradictions that weaken their impact.

Branding is becoming more crucial as the crypto sector evolves from a movement to an industry. To adapt, exchanges need to clarify their unique value propositions and align their narratives with their actions.

To achieve a consistent and effective brand positioning, you need to identify and address the specific needs of your target audience, and craft a compelling brand story that sets you apart from your competitors. This is not a matter of intuition, but of rigorous analysis and strategy.

We used a content analysis method to quantify the types and frequencies of narratives that exchanges communicate to their audiences through their primary websites. However, this method only captures one side of the branding process: the message. To gain a more complete picture of how you are perceived by your target market, you need to conduct a user perception study that investigates how this message has been assimilated by users. This study would involve collecting and analyzing data from surveys and interviews with current and potential users and comparing their perceptions with your current narratives. Only then, will you have the required foundation to deconstruct and reconstruct your brand.

THE RELEVANCE HOUSE can help you design and execute such a study, and provide you with actionable insights on how to improve your brand consistency and appeal. Over a twelve-week brand tune up, you'll gain an in-depth understanding of the specific narratives and positioning of your competitors and the opportunities for challengers. By week 12, you will be equipped with a strategy that defines the most credible, consistent and memorable brand positioning to guide all your marketing activities.

Contact us today to take a deep dive into the full report, including a detailed breakdown of each exchange's brand positioning and how you compare.

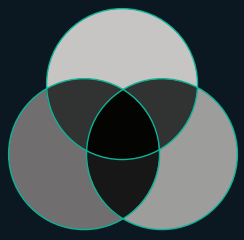
THE CENTRALIZED CRYPTO EXCHANGES (CEXS) BRAND LANDSCAPE Q2 2023

This report was prepared and written by THE RELEVANCE HOUSE, a Swiss-based branding and marketing agency specialized in blockchain and Web3.

GET IN TOUCH

German Ramirez

Co-Founder & Chief Relevance Officer
+ 41 78 942 47 67
german@therelevancehouse.com



THE RELEVANCE HOUSE.